Tata Consultancy Services Limited — Q2 FY25 Earnings Conference Call

Date: October 10, 2024 | Participants: K. Krithivasan (MD & CEO), Samir Seksaria (CFO)

Management Opening Remarks — K. Krithivasan (MD & CEO):

Good evening, everyone, and thank you for joining us today. In Q2 FY25, our revenue grew 7.6% year-on-year in constant currency, reaching INR 64,259 crore. Growth was led by our Energy, Resources, and Utilities vertical, which grew 7.0%, and Manufacturing at 5.3%. Our BFSI vertical, which accounts for 31.3% of revenue, returned to positive sequential growth at 0.1% QoQ after four quarters of contraction.

Guidance vs Actual Execution:

At the beginning of FY25, we guided that international markets would see stabilization by Q2, with BFS discretionary spending gradually returning. Actual delivery shows North America grew -2.1% YoY, indicating that discretionary tech spend recovery remains slower than initially guided. However, our UK business delivered resilient growth of 4.6% YoY. Total Contract Value (TCV) for the quarter stood at $8.6 billion, well within our target operating band of $7B to $9B per quarter.

AI & Cloud Pipeline:

Our AI and GenAI pipeline doubled sequentially to $1.5 billion. We are actively engaged in over 600 GenAI engagements across financial services, telecom, and life sciences. We remain confident in our long-term structural margin target of 26-28%, although wage hikes impact near-term numbers.

Financial Review — Samir Seksaria (CFO):

Let me walk through the key financial parameters for the second quarter ended September 30, 2024. Consolidated Revenue for Q2 FY25 was reported at INR 64,259 crore, up 2.6% QoQ and 7.6% YoY. Operating Margin (EBITDA margin equivalent) stood at 24.1%, expanding by 40 bps year-on-year, primarily driven by productivity gains and pyramid optimization.

Metric (INR Crore)	Q2 FY25	Q1 FY25 (QoQ)	Q2 FY24 (YoY)	YoY Growth (%)
Revenue from Operations	64,259	62,613	59,692	+7.6%
Operating Profit (EBIT)	15,486	15,444	14,483	+6.9%
EBIT Margin (%)	24.1%	24.7%	24.3%	-20 bps
Profit Before Tax (PBT)	16,140	16,183	15,330	+5.3%
Profit After Tax (PAT)	11,909	12,040	11,342	+5.0%
Net Margin (%)	18.5%	19.2%	19.0%	-50 bps
Free Cash Flow (FCF)	11,261	10,950	10,210	+10.3%

Cash Conversion & Balance Sheet Health:

Operating cash flow was INR 11,261 crore, representing 100.2% of net profit (PAT). This highlights exceptional cash conversion quality. Invested cash and bank balances stood at INR 43,892 crore as of September 30, 2024. The company remains virtually debt-free with a Debt-to-Equity ratio of 0.00. Return on Equity (ROE) stands at 51.2% annualized.

Analyst Q&A; Session Highlights

Question from Nitin Padmanabhan (Investec):
'On discretionary spend: you noted earlier that banking clients were pausing transformation programs. Are you seeing signs of budget expansion for CY25?'

Response by K. Krithivasan (MD & CEO):
'Clients are cautious. While vendor consolidation deals continue at a brisk pace, discretionary spends remain selective. We are seeing demand for efficiency and cost reduction, but new digital transformation initiatives are taking longer to convert into billings.'

Bull vs Bear Case Synthesis:

Bull Thesis: Market share gains from vendor consolidation; mega-deal execution track record ($8.6B TCV); peer-leading operating margins (24.1%); pristine debt-free balance sheet with 100%+ cash conversion and high return on equity (>50%).

Bear Thesis: Prolonged stagnation in US BFSI discretionary spending (-2.1% YoY in North America); pricing pressure in renewal contracts; attrition at senior project architect level; risk of GenAI accelerating software development cycle and reducing billable hours.